

Today, AI providers are competing aggressively, offering free or heavily subsidised services to build user habits. But that may not last forever. Ganesh Gopalan, co-founder and CEO of Gnani.ai, argues that free AI should raise questions. “The first thing we should ask is: why are these companies offering their services for free? They want to make users stick to the platform. Once users become dependent, they will pay up if alternatives are not available,” says Gopalan.

The more users rely on AI inference systems for daily work and decision-making, the more difficult it becomes to resist using them. That creates both economic and strategic lock-in.

According to the Economic Survey 2025-26, India generates roughly 20% of the world’s data but stores only around 3% domestically. Every interaction with foreign AI systems potentially contributes to improving those systems.

“If they are charging, Indian companies will eventually compete. The larger concern is when AI systems are trained and improved using Indian data. And this is different from the internet. The internet democratised information. AI is democratising intelligence. That makes it much more fundamental,” says Gopalan. Though some of the start-ups are using open-source AI models, the user base is small.

LOCAL EFFORTS

Under the India AI Mission, backed by an allocation exceeding ₹10,000 crore, several indigenous efforts are underway. Among the most prominent are Sarvam AI, BharatGen and Gnani.ai. Sarvam recently unveiled its Vikram 30-billion-parameter model and a larger 105-billion-parameter reasoning model trained on sover-



“The models powering Indian enterprises and developer workflows, including OpenAI’s GPT series, Google Gemini, Anthropic Claude, are built, governed and monetised entirely outside India”

AMIT CHAND
FOUNDER, BYT CAPITAL



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eign Indian compute infrastructure. BharatGen has launched Param2, while Gnani.ai has developed multilingual voice models tailored for Indian languages. Yet, the gap with frontier global models remains significant.

“When compared with OpenAI, Anthropic or Google Gemini, there is a substantial gap in reasoning capabilities, multimodal performance, research depth and training infrastructure,” says Kannapally.

Experts argue that India’s goal should not be to replicate GPT-5 or compete head-on with Silicon Valley. Instead, India’s opportunity lies elsewhere, in niche small language models and localisation.

Global models often struggle with Indian languages, dialects and cultural nuances. That’s where

Indian companies can play a role. Gopalan believes voice AI could become India’s strongest competitive advantage. “Bharat (the hinterlands) will never use AI through chat interfaces alone. They will use voice,” says Gopalan.

India must also invest in research talent, datasets, semiconductor capabilities and open-source AI ecosystems. “The answer is not necessarily replacing foreign models. It is building domestic alternatives and increasing competition,” Kannapally says.

Local innovators are already working on small language models to address unique local requirements. India has the tech prowess; now the AI models must show reliability at scale, and this could arrest some of the forex flight. **BT**